

Document 36. Common Mistakes & Mark-Scheme Triggers — 30 Errors That Cost Grades

This is your error-prevention checklist. The Cambridge mark schemes reward specific phrases and penalise specific habits. Each row below names the mistake, shows the corrected version, and quotes the mark-scheme trigger that earns the mark.

Principle. The B/A boundary is not knowledge — it is precision. Examiners scan for technical phrases and complete diagrams. Replace vague verbs with the exact economic mechanism in every sentence.

Section A. Micro Mistakes (1–12)

#	Common mistake	Corrected version	Mark-scheme trigger
1	"Price goes up because demand goes up."	"At P_0 , $Q_d > Q_s$, creating a shortage. Upward pressure on price. Price rises until shortage is cleared at P_1 ."	Mechanism, not assertion. "Shortage $\rightarrow$ upward pressure on price."
2	"Negative externality, so tax it."	"MEC drives MSC above MPC. Free market $Q_m > Q^*$. Tax = MEC at Q^* internalises the externality, restoring allocative efficiency."	"Internalises the externality." "MSC = MSB at Q^* ."
3	Drawing externality diagram without DWL triangle.	Always shade DWL between MSB and MSC over $[Q^*, Q_m]$.	"Welfare loss = area..."
4	"Subsidy lowers price."	"Subsidy s shifts SS down by s . P falls by less than s if DD inelastic. Producers receive $P_1 + s$. Consumers pay P_1 ."	Tax/subsidy incidence depends on <i>relative elasticities</i> .
5	Treating "merit good" and "public good" interchangeably.	Merit = positive externality + info failure (rival, excludable). Public = non-rival, non-excludable (free-rider).	Distinguish rivalry and excludability.
6	"Monopoly is inefficient."	"Monopoly $P > MC$ at profit-max output $\Rightarrow$ allocative inefficiency. Output $Q_m < Q_{PC}$. DWL = triangle between D and MC."	"Allocative inefficiency arises when $P > MC$."
7	Ignoring elasticity in price-control answers.	"If DD is inelastic, a price ceiling causes a large shortage with little fall in Q_d ..."	Always invoke PED/PES magnitude.
8	"Price discrimination is bad."	Recognise efficiency case: serves more consumers if MC is low; raises producer surplus; may fund cross-subsidy.	Balance positive + negative effects.
9	"Costs go up, supply goes down."	"Higher input price raises MC at every output. SS shifts left. New equilibrium: higher P , lower Q ."	MC-based reasoning, not narrative.
10	Forgetting to define "market failure".	"Market failure = misallocation of resources where free-market output diverges from the socially optimal level Q^* ."	Definition in opening line.
11	Listing policies without comparing them.	For each policy: effectiveness, side-effects, cost, conditionality. Then rank.	"On balance, X is more effective <i>because Y</i> ."
12	Stating "CPI rose" without saying why it matters.	"CPI rose by X%, eroding real purchasing power and squeezing real wages."	Link statistic to welfare impact.

Section B. Macro Mistakes (13–24)

#	Common mistake	Corrected version	Mark-scheme trigger
13	“AD up means inflation.”	“AD shift right $\Rightarrow$ rising P only on intermediate and classical AS. On Keynesian flat range, Y rises with no P rise.”	Region of AS matters.
14	Mixing demand-pull and cost-push.	Demand-pull: AD shifts. Cost-push: SRAS shifts left, stagflation ($P\uparrow$, $Y\downarrow$).	Identify which curve moved.
15	“Government spending boosts growth.”	“ ΔG raises AD by $k \times \Delta G$, where $k = 1/(1 - MPC)$. Effect dampened by leakages and crowding out.”	Multiplier formula stated.
16	Ignoring time-horizon in growth answers.	“Short-run: AD-led, may over-heat. Long-run: requires LRAS shift via supply-side policy.”	Short-run vs long-run distinction.
17	“MAS raises interest rates.”	“Singapore conducts <i>exchange-rate-centred</i> monetary policy. MAS adjusts S\$NEER slope/width/centre, not interest rates.”	Always cite S\$NEER framework.
18	Confusing sustained, sustainable, inclusive growth.	Sustained = consistent over time. Sustainable = without depleting natural capital. Inclusive = distributed across income groups.	Distinguish all three in essays.
19	“Depreciation always helps the BOP.”	“Improves CA only if Marshall-Lerner holds ($ PED_X + PED_M > 1$). Short-run J-curve: CA worsens first.”	Marshall-Lerner condition.
20	Treating fiscal vs monetary as substitutes.	For Singapore, MAS = monetary anchor; fiscal = supply-side and stabiliser. Mix is complementary.	Policy mix reasoning.
21	“Unemployment up, recession.”	Distinguish cyclical (AD-driven), structural (mismatch), frictional (transitional). Policy differs per type.	Type-specific policy.
22	“Higher savings = higher growth.”	Higher S raises loanable funds $\Rightarrow$ I rises (paradox of thrift caveat: in recession, $\uparrow S$ lowers AD).	Mention paradox of thrift.
23	Forgetting AD components.	$C + I + G + (X - M)$. Identify which component moved <i>first</i> .	Decomposition.
24	“Globalisation is good for Singapore.”	Net benefit conditional on: openness exposes to imported inflation; gains from comp advantage; FDI dependence; widening income gap.	Conditional evaluation.

Section C. Technique Mistakes (25–30)

#	Common mistake	Corrected version	Mark-scheme trigger
25	Writing introduction >80 words.	Define key term + signal stance in 2 lines. Save time for body.	Concision = examiner-friendly.
26	Conclusion = summary only.	Conclusion = stance + qualifier + binding condition (“conditional on...”).	Synthesis, not repetition.
27	Diagram without title or labels.	Always label: axes (P, Q or P, Y); curves (DD, SS, MPC, MSC, etc.); equilibrium points (E_0, E_1); shaded areas. Title above.	Fully labelled diagram.
28	Quoting extract without analysis.	Quote a specific number with unit, then say what it implies (“...indicating that...”).	Application AO2.
29	Listing 5 evaluation points equally.	2–3 <i>deep</i> points, each with reasoning. Quality > quantity.	L3 evaluation.
30	Running out of time on essay (b).	Allocate proportionally to marks. 15-mark = 30 min; 10-mark = 20 min; 25-mark essay = 45 min including 5 min plan.	Time-management.

Section D. The Five Phrases That Win Marks

1. “*This creates upward/downward pressure on price until...*” — mechanism, not assertion.
2. “*The magnitude of the effect depends on the price elasticity of...*” — evaluation hook.
3. “*In the short run..., but in the long run...*” — time-horizon split.
4. “*This policy is more effective than [alternative] because..., conditional on...*” — comparative synthesis.
5. “*Extract X states that [specific number with unit], indicating that...*” — evidence integration.

Section E. The Five Phrases That Cost Marks

1. “*It depends.*” Alone, this is not evaluation. Must be followed by *what* it depends on.
2. “*The economy will collapse / boom.*” Hyperbole is penalised.
3. “*Everyone will be worse off.*” Distributional precision required.
4. “*In conclusion, both policies work.*” Must take a stance.
5. “*As we have seen above...*” Wasted words; no marks for self-reference.

The 5-minute pre-submission check. (1) Have I defined every key term? (2) Is every diagram fully labelled? (3) Have I quoted at least one extract number per part? (4) Have I included Singapore context? (5) Does my conclusion take a stance with a binding condition? Fix any “no” before you submit.